



Ethereum's Post-Merge Supply Dynamics & Monetary Premium

A data-forward analysis of ETH's burn/issuance mechanics, staking economics, and long-term supply trajectory.

CURRENT SUPPLY

121,603,980 ETH

ETH PRICE

\$2,243 USD

BASE GAS

0.1 Gwei avg

NET SUPPLY CHANGE (7D)

+19,445.89 ETH

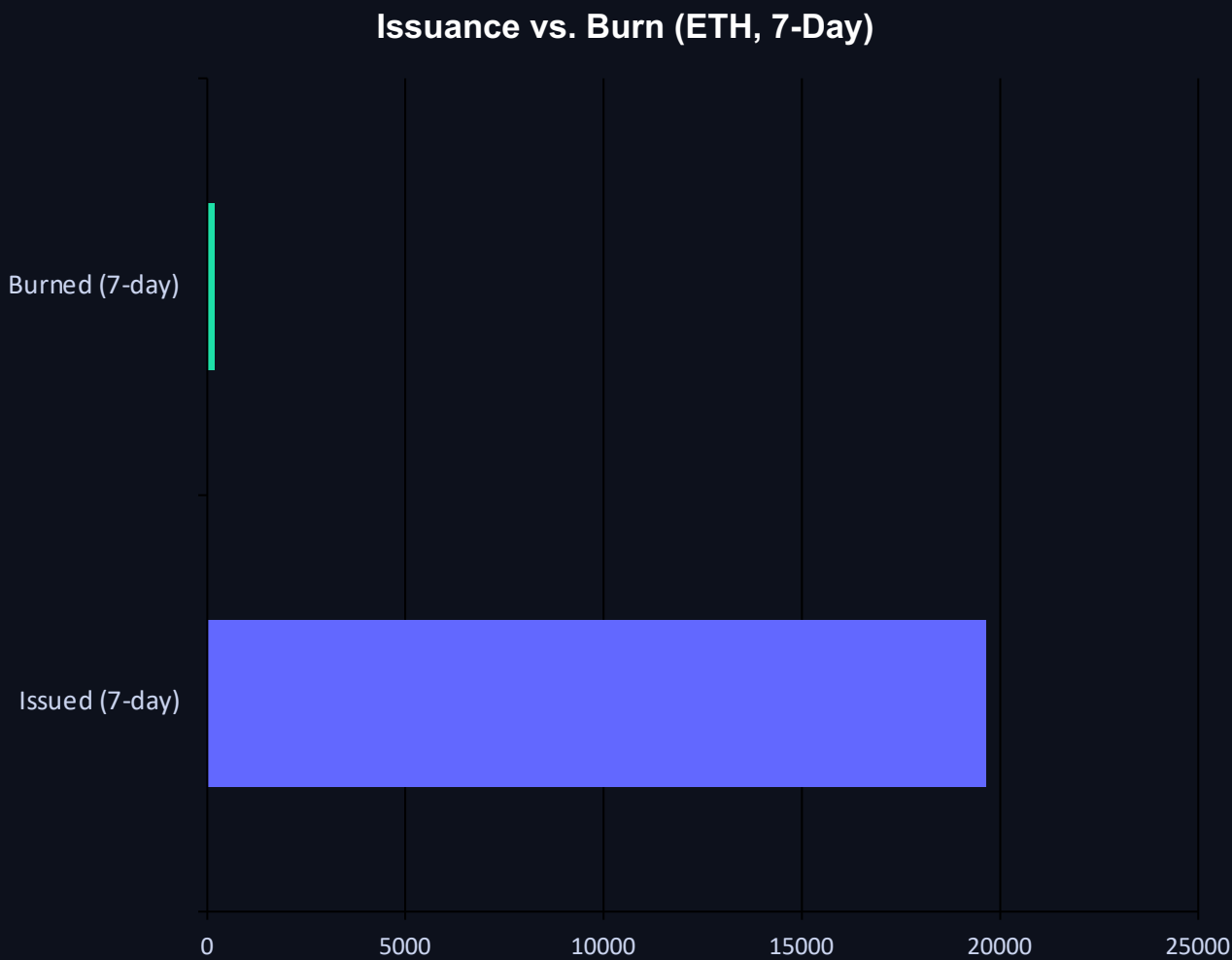
ANNUAL GROWTH RATE

+0.83% / year

Post-Merge · EIP-1559 · Proof-of-Stake · Ultra Sound Money Thesis

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

7-Day snapshot: +19,445.89 ETH net · 121,603,980 ETH total supply



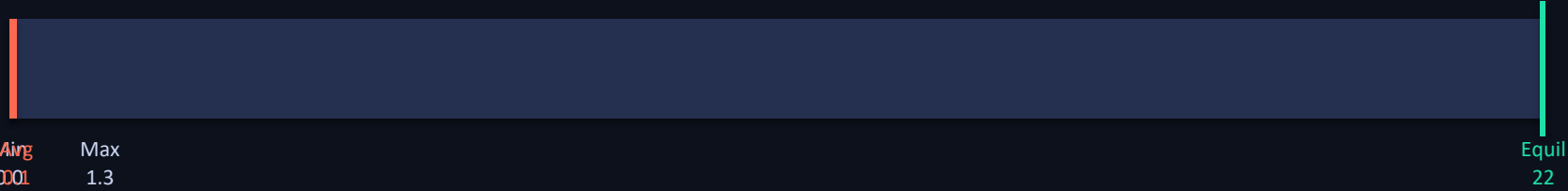
Source: ultrasound.money

TOTAL ETH ISSUED (7D)	19,638.29 ETH
TOTAL ETH BURNED (7D)	192.39 ETH
NET SUPPLY CHANGE (7D)	+19,445.89 ETH
OFFSET RATIO	0.01x
ANNUALISED GROWTH	+0.83% / year
Burns offset only ~1% of new issuance at current 0.1 Gwei average gas price.	
CURRENT TOTAL SUPPLY	

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burns base fees · Low gas = low burn = temporary supply inflation

7-Day Gas Price Range (Gwei)



EIP-1559 Burn Mechanism

- ▶ Every transaction pays a base fee → burned permanently
- ▶ Miner/Validator receives only the priority tip
- ▶ Higher network activity = higher base fee = more ETH destroyed
- ▶ At low gas, burn is negligible relative to PoS issuance

GAS AVG (7D)

0.1 Gwei

GAS MIN (7D)

0.0 Gwei

GAS MAX (7D)

1.3 Gwei

BLOB GAS AVG

7,144,934 wei

BLOB FEE BURN (7D)

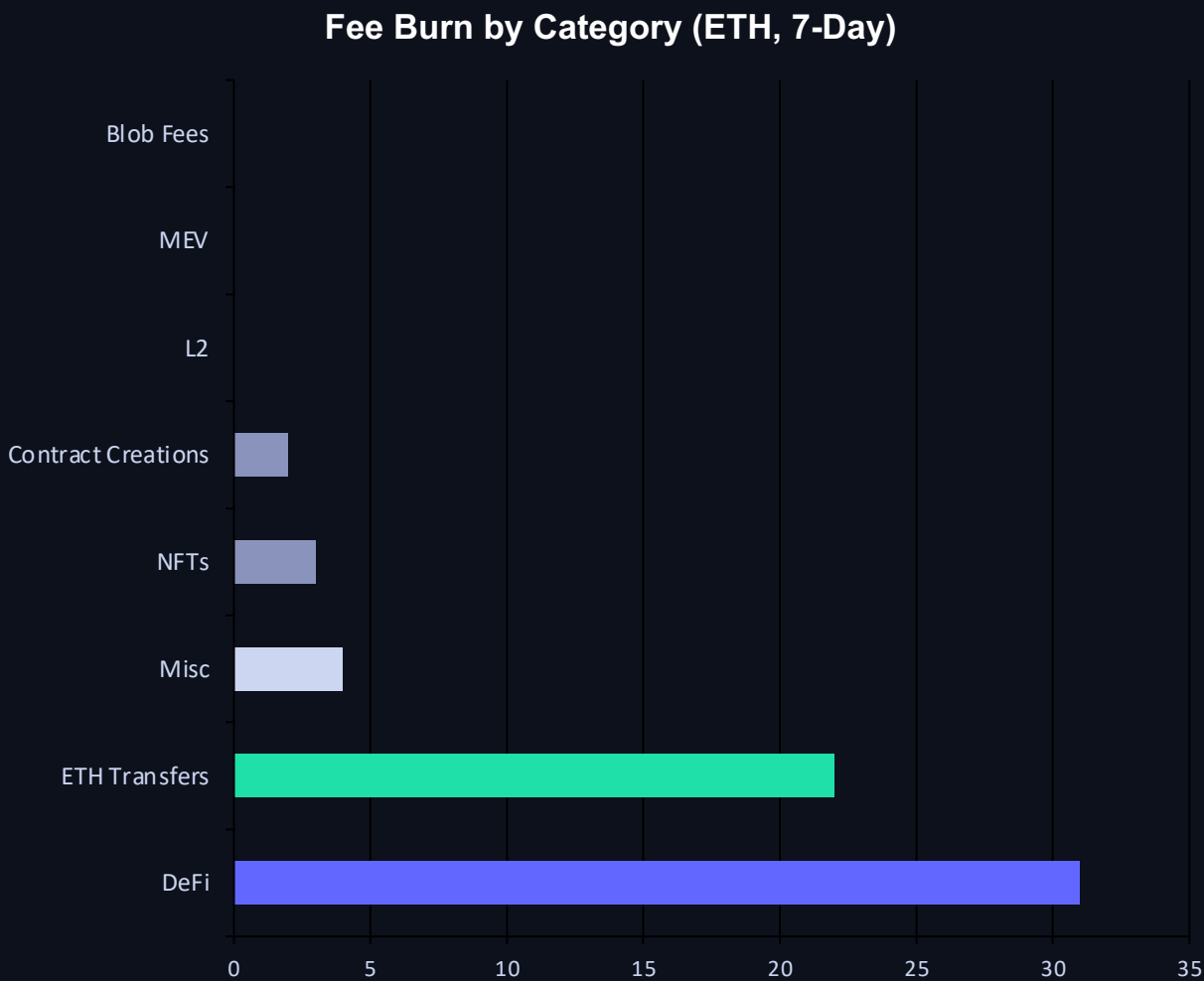
0.15 ETH (\$319)

EQUIL GAS ASSUMED

22 Gwei

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn by category · Total: ~192 ETH burned



Top Burn Sources (7D)

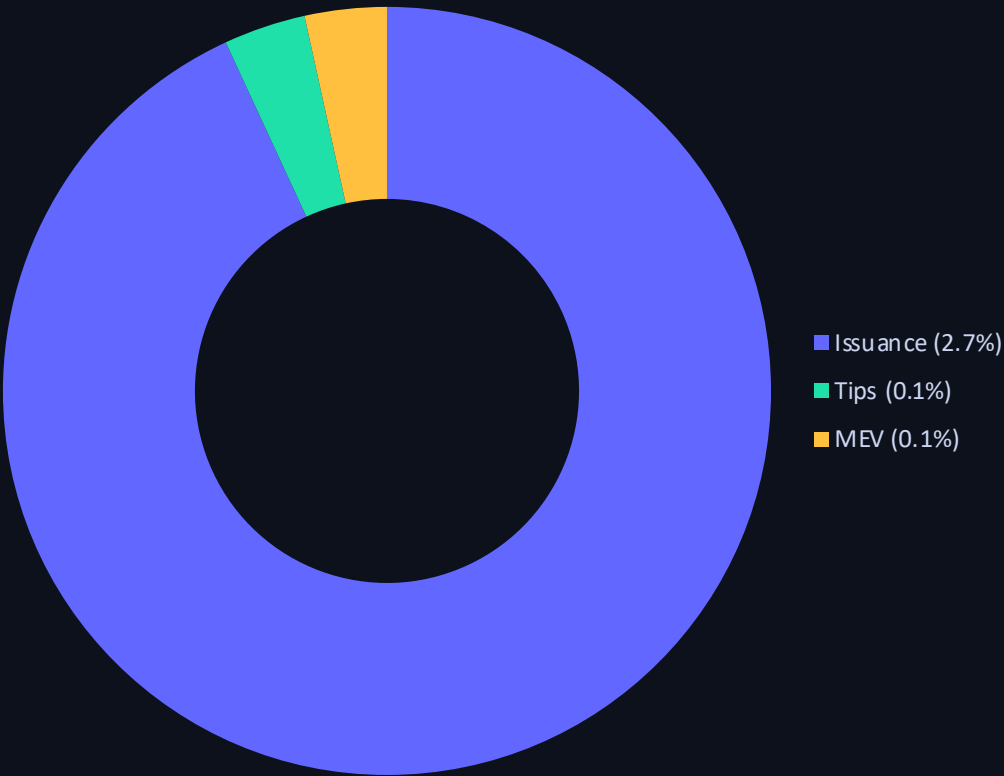
#1 ETH Transfers	21.74 ETH
#2 Tether (USDT)	13.55 ETH
#3 DeFi Contracts	~9 ETH
#4 Misc / Other	~4 ETH

Insight: Block burns averaged 0.00–0.01 ETH; 7-day single-block record: 0.07 ETH.
L2, MEV, and blob fees contributed zero burn this period.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

PoS scarcity engine · 32% of supply locked · 9.1M ETH avg time-span 10.7 years

Validator Reward Composition (APR)

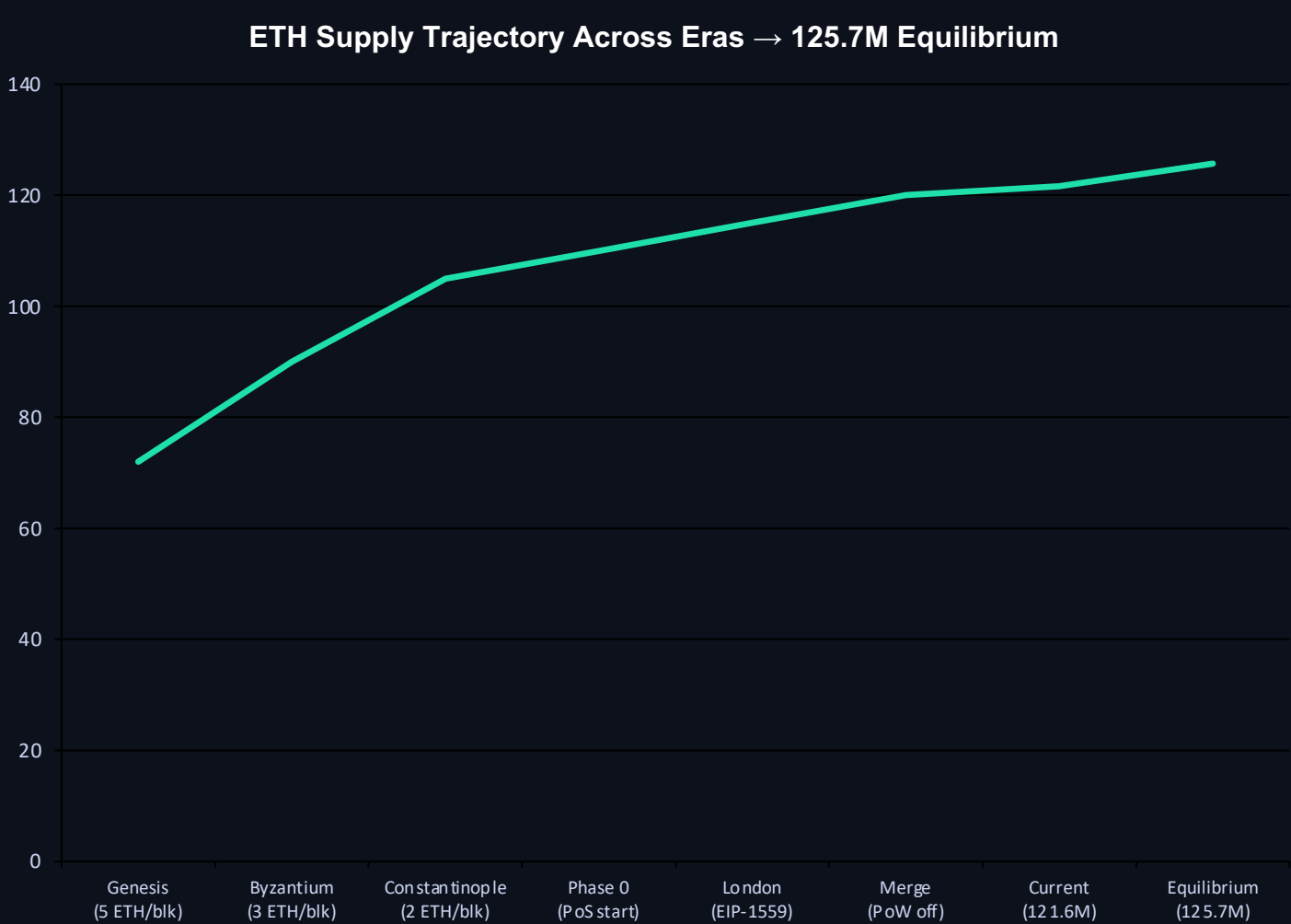


ETH STAKED	38.9M ETH
% OF SUPPLY STAKED	~32%
STAKING CONTRACTS	9.1M ETH locked
AVG LOCK DURATION	10.7 years
TOTAL VALIDATOR APR	~2.9%
PoS ISSUANCE/DAY	~2,800 ETH/day

Validators earn issuance rewards from protocol, not activity — tips and MEV are negligible at low gas.

Long-Term Equilibrium Projected at 125.7M ETH — Issuance/Burn Balance at 1,037K ETH/Year

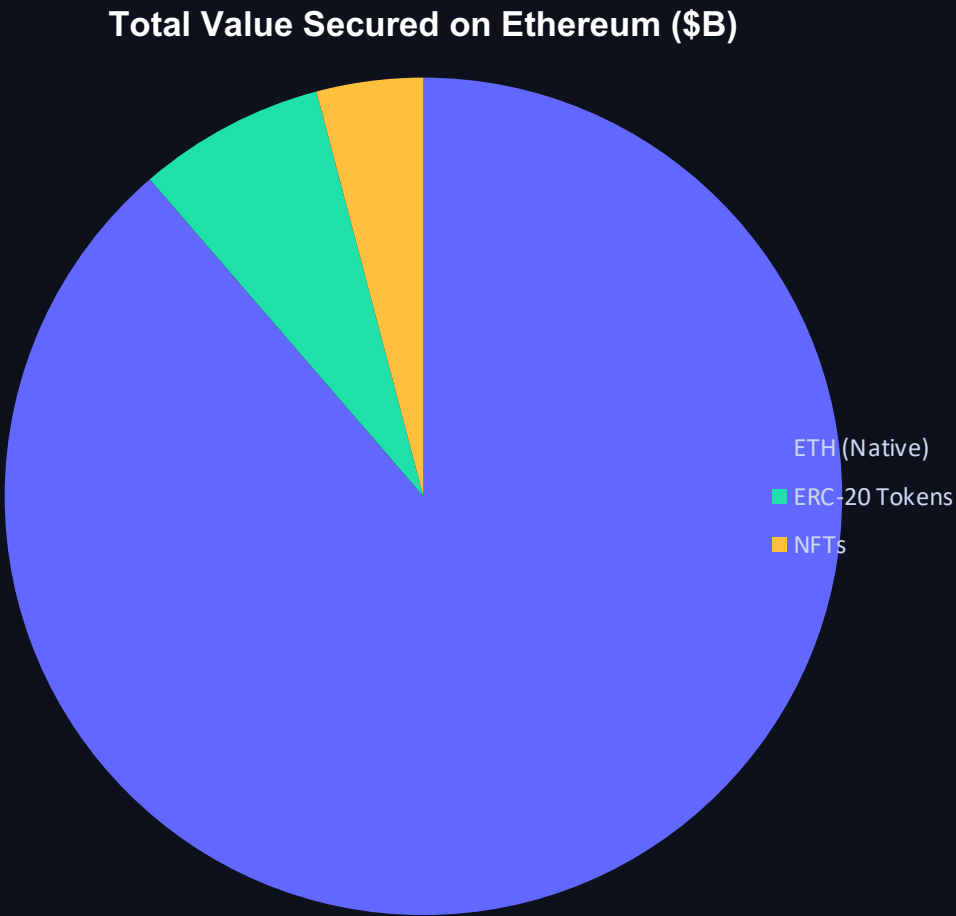
200-year supply model · 39M staked · 22 Gwei base gas assumption · PoS issuance vs burn convergence



EQUILIBRIUM SUPPLY
125.7M ETH
ISSUANCE = BURN AT
~1,037K ETH/year
ETH STAKED (ASSUMED)
39M ETH
BASE GAS (ASSUMED)
22 Gwei avg
POS ISSUANCE RATE
2.7% / year
NON-STAKER BURN RATE
1.2% / year
POS ISSUANCE/DAY
~2,800 ETH/day
BURN RATE (NORMALIZED)
~2,200 ETH/day

ETH at 18.7% of Bitcoin's Market Cap — Securing \$307B+ in Total Value

Flipping progress · Total Value Secured breakdown · Monetary premium comparison



Flipping Progress (ETH Market Cap vs.)

Bitcoin 18.70%



USD M1 1.30%



Gold 0.89%



TVS Breakdown

ETH (Native)	\$272.76B
ERC-20 Tokens	\$22.21B
NFTs	\$12.66B
TOTAL	~\$307.6B

Key Takeaways: Ultra Sound Money Thesis Intact — Gas Activity Is the Critical Variable

Summary for crypto-native investors evaluating ETH as a monetary asset

1

Currently mildly inflationary at +0.83%/year

Historically low gas (avg 0.1 Gwei) means burns offset only ~1% of issuance. This is a temporary cyclical headwind, not a structural failure.

2

The burn mechanism works — activity is the unlock

EIP-1559 destroyed 192 ETH in 7 days. At equilibrium 22 Gwei, issuance and burn balance at ~1,037K ETH/year. Sustained on-chain activity drives deflation.

3

38.9M ETH staked (32% of supply) creates a scarcity flywheel

9.1M ETH locked in staking contracts avg 10.7 years. Supply lock structurally reduces circulating float independent of burn dynamics.

4

Long-term equilibrium at 125.7M ETH is structurally sound

200-year model converges supply to 125.7M — capped by design, bounded by math. Comparable to Bitcoin's hard cap in predictability.

5

ETH secures \$307B+ in value; 18.7% of Bitcoin's market cap

Flipping at 18.7% of BTC, 0.89% of gold. Monetary premium is early but compounding as ETH absorbs more of the global value-settlement stack.